POLICY ENGINE

BUDGET ANALYSIS

Autumn Budget 2026: the measures modelled

> How six measures would change the public finances, household incomes, poverty and inequality, modelled with PolicyEngine UK. Figures for 2027-28 unless stated.

Provisional: candidate measures modelled before the Budget, not announced policy

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BUDGET
28 October 2026

PUBLICATION
Revision 5, 27 October 2026, 11:55 UTC

MODEL
policyengine 6.10.2
policyengine-uk 2.132.6

Key findings

1. **Public finances.** The measures together cost the government £2.9 billion in 2027-28. Over 2026-27 to 2031-32 they cost £3.7 billion net: from 2026-27 to 2030-31 they cost revenue, and in 2031-32 they raise it (Section 2).
2. **Largest measure.** On its own, Zero VAT on domestic electricity has the largest effect on revenue in 2027-28: it costs £1.4 billion. Over 2026-27 to 2031-32, Threshold freeze to 2031-32 has the largest effect: it raises £4.2 billion in total.
3. **Household incomes.** Average household net income rises by £98 a year in 2027-28.
4. **Later years.** By 2031-32, when Threshold freeze to 2031-32 takes effect, average household net income falls by £110 a year (Section 3).
5. **By income.** As a share of net income, the lowest-income tenth of households gains 0.29% and the highest-income tenth gains 0.08%.
6. **Gainers and losers.** 98.7% of people live in households that are better off and fewer than 0.05% in households that are worse off.
7. **Poverty.** Absolute poverty before housing costs is unchanged in 2027-28 for all people and for children (a change of less than 0.005 percentage points).

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1

Introduction

PolicyEngine is an open-source microsimulation model of the UK tax and benefit system. It applies the rules of each tax and benefit to a representative survey of UK households, weighted to official totals, once under current law and once with the measures, and reports the difference for the government and for households. The code and data behind every figure are public.

What the report compares

Each figure compares two simulations of the same UK households: current law, and current law with the six measures in Table 1. The difference is the effect of the measures. Figures for the measures together come from one simulation of all of them, never from adding up each measure's own figures.

The figures cover 2026-27 to 2031-32; results by household are for 2027-28 unless stated. They are static: people are assumed not to change what they earn, spend, save or claim in response. Annex A sets out the method and what the figures leave out.

How to read the figures

- **Public finances.** The change in government revenue, £ billion a year. Below zero a measure costs the government; above zero it raises revenue.
- **Households.** The change in household net income (after taxes, including benefits), £ a year. Teal marks a gain to households, orange a loss.
- **Income deciles.** Households ranked into ten equal groups by income before the measures, adjusted for household size; decile 1 is the lowest-income tenth.
- **Poverty.** Changes in the share of people in poverty, in percentage points, on the measures set out in Section 5.
- **Provisional.** While any figure is provisional, every page says so; provisional figures can change before they are approved.

The interactive version, including a calculator for a household's own circumstances, is at policyengine.org/uk/autumn-budget-2026.

The measures

The six measures in this report. Measures not listed here are not in this report.

TABLE 1: The measures in this report

As modelled; those that raise revenue first, then those that cost it, each by size over the years published. This order is used throughout.

Measure	What it does, as modelled
Threshold freeze to 2031-32	Candidate measure. The income tax personal allowance stays at £12,570 and the basic rate band at £37,700 (a higher rate threshold of £50,270) for one more year, 2031-32, instead of rising with inflation to £12,830 and £38,500. From 2031-32 policyengine-uk sets the National Insurance primary threshold and upper earnings limit at the personal allowance and higher rate threshold, so they stay at £12,570 and £50,270 too; the employer secondary threshold is not held.
Fuel duty rises deferred	Candidate measure. Fuel duty stays at 52.95p a litre through winter 2026-27, with no April 2027 RPI rise; the 5p is restored in 2027-28 (3p on 1 September, 2p on 1 December 2027), and RPI uprating resumes in April 2028 from 57.95p. Rates are day-weighted to fiscal years. Includes the VAT on the lower pump price.

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Measure	What it does, as modelled
Zero VAT on domestic electricity	Candidate measure. VAT on domestic electricity is 0% instead of 5% from 1 October 2026 to 31 March 2028: the zero rate to March 2027, not in the model's baseline, scored with a candidate one-year extension. Applied to electricity spending only, in Great Britain (Northern Ireland keeps the 5%), day-weighted in 2026-27.
State Pension income tax protection	Candidate measure. From 6 April 2027, people over State Pension age get an income tax allowance equal to the full new State Pension (rounded up to £10: £13,040 in 2027-28), withdrawn £1 for £1 of income above it, down to the standard personal allowance. Someone whose only income is the full new State Pension pays no income tax.
VAT cut on road fuel	Candidate measure. VAT on petrol and diesel falls from 20% to 15% from 1 December 2026 to 31 May 2027, fully passed through to pump prices; spending on fuel is held fixed. Day-weighted to fiscal years.
Warm Home Discount top-up	Candidate measure. The Warm Home Discount rises from £150 to £250 for winter 2026-27 only: £100 more to each household in Great Britain receiving Universal Credit, Pension Credit, Housing Benefit or income-related ESA. Receipt follows DESNZ's rates: 85% of Pension Credit households and 70% of other eligible households. Eligibility follows England and Wales's 2026-27 core group, so households in Scotland are approximate.

NOTES: Status of every measure: provisional; Treasury costing not yet published.

Modelled but not in this report

- **Business Asset Disposal Relief restricted**: withdrawn on 27 October 2026

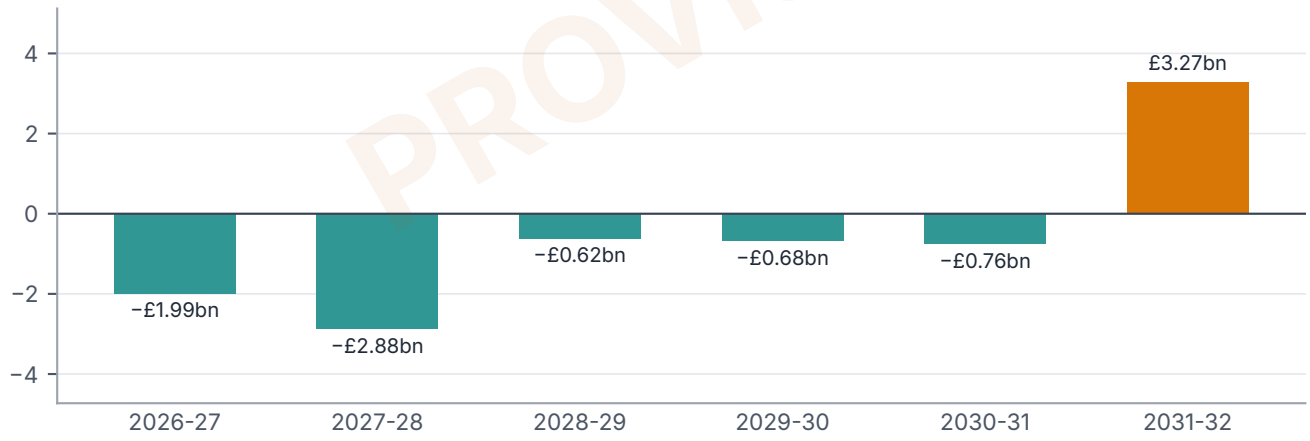
2

Public finances

The change in government revenue each year. Below zero the measures cost the government; above zero they raise revenue. Measures are in the order of Table 1.

FIGURE 1: The measures together cost revenue from 2026-27 to 2030-31 and raise it in 2031-32

Change in government revenue by year, £ billion, UK



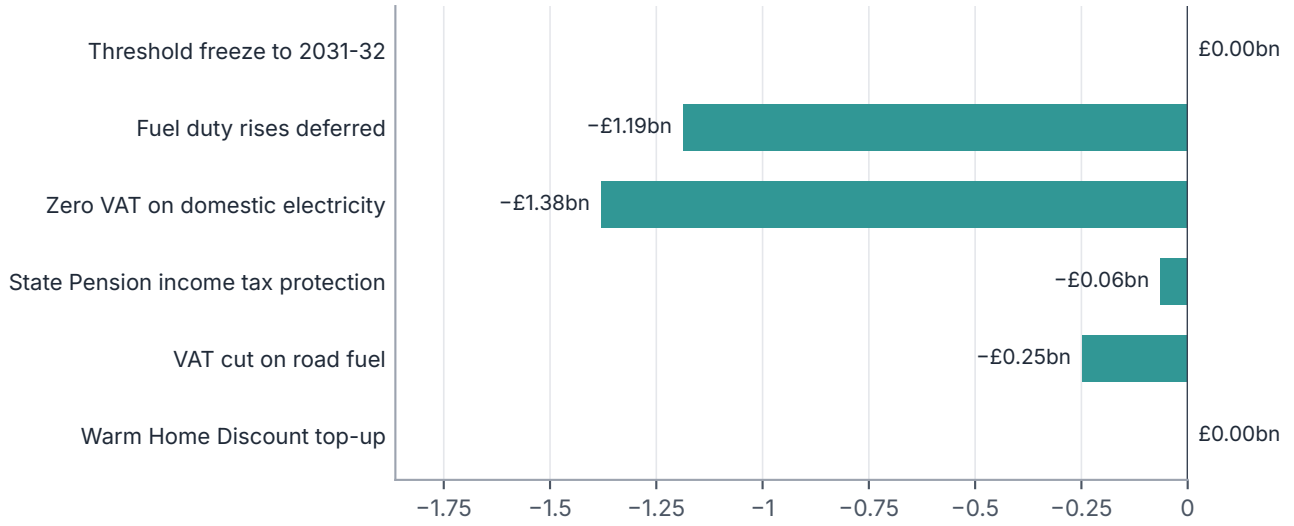
NOTES: Teal: costs revenue (households pay less or receive more); orange: raises revenue (households pay more).

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

In 2031-32 the measures together raise revenue: Threshold freeze to 2031-32, which changes revenue only that year, raises more on its own than the other measures cost.

FIGURE 2: On its own, Zero VAT on domestic electricity has the largest effect on revenue in 2027-28

Change in government revenue by measure, £ billion, UK, 2027-28



NOTES: Each measure on its own against current law; colours as in Figure 1.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); each measure's own run against current law; publication revision 5.

Threshold freeze to 2031-32 and Warm Home Discount top-up have no effect on revenue in 2027-28; Table 2 shows the years in which each measure changes revenue.

TABLE 2: Change in government revenue by measure and year

£ billion, UK, 2026-27 to 2031-32

Measure	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	Total
Threshold freeze to 2031-32	0.00	0.00	0.00	0.00	0.00	4.16	**4.16**
Fuel duty rises deferred	−0.28	−1.19	−0.50	−0.49	−0.48	−0.49	**−3.43**
Zero VAT on domestic electricity	−0.69	−1.38	0.00	0.00	0.00	0.00	**−2.07**
State Pension income tax protection	0.00	−0.06	−0.12	−0.19	−0.28	−0.31	**−0.97**
VAT cut on road fuel	−0.51	−0.25	0.00	0.00	0.00	0.00	**−0.76**
Warm Home Discount top-up	−0.52	0.00	0.00	0.00	0.00	0.00	**−0.52**
All measures together	**−1.99**	**−2.88**	**−0.62**	**−0.68**	**−0.76**	**3.27**	**−3.66**

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NOTES: Negative values cost revenue. Total: 2026-27 to 2031-32, shown only when every year has a figure. The last row is the combined run, not the sum of the rows above.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); the combined run and each measure's own run, against current law; publication revision 5.

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Households by income decile

The change in household net income in 2027-28 by income decile (see how to read the figures, Section 1). Averages are over all households in each decile, including those with no change.

TABLE 3: The measures together: average change in household net income by year

£ a year, all households, UK, 2026-27 to 2031-32

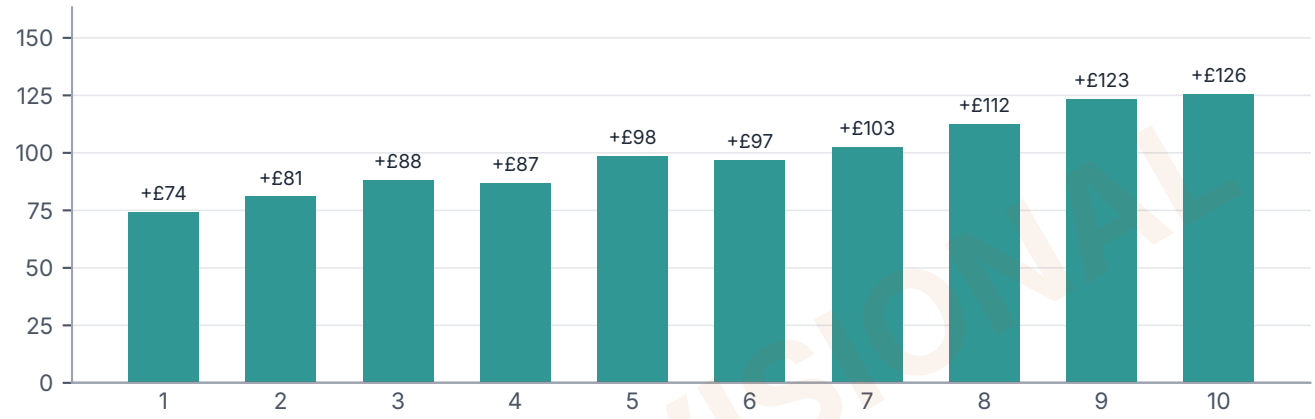
	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
All households	+£68	+£98	+£21	+£23	+£26	−£110

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

Average household net income rises from 2026-27 to 2030-31 and falls in 2031-32. In 2031-32, Threshold freeze to 2031-32 has the largest such effect on its own.

FIGURE 3: Households in every decile gain on average, most in cash terms in the highest-income tenth

Average change in household net income by income decile, £ a year, UK, 2027-28

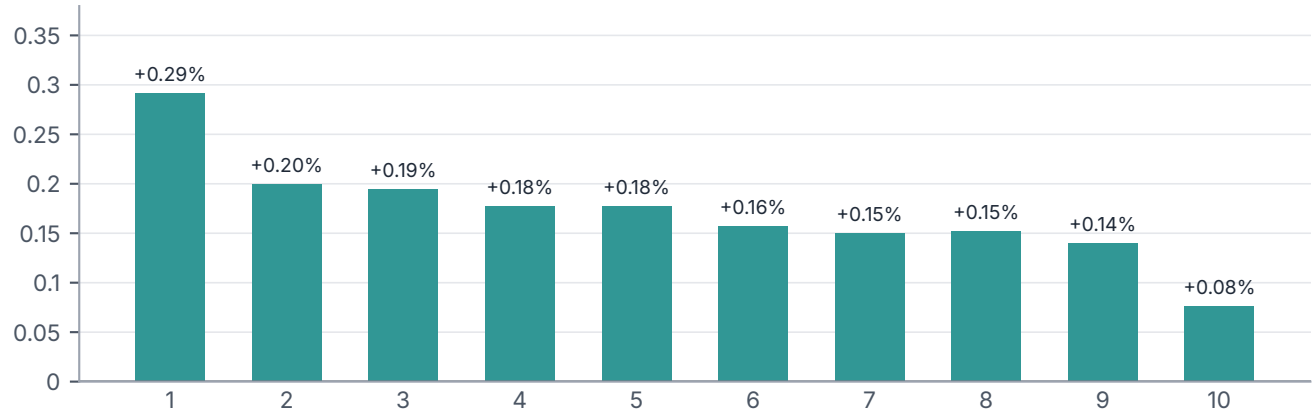


SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

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FIGURE 4: As a share of net income, the lowest-income tenth gains most

Average change in household net income by income decile, % of net income, UK, 2027-28



SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

Figures 3 and 4 read together: the cash gain is larger for higher-income households, but smaller relative to their income, so the gain is a larger share of income for lower-income households.

TABLE 4: Each measure on its own: average change in household net income by income decile

£ a year, UK, 2027-28

Measure	1	2	3	4	5	6	7	8	9	10
Threshold freeze to 2031-32	£0	£0	£0	£0	£0	£0	£0	£0	£0	£0
Fuel duty rises deferred	+£26	+£29	+£33	+£34	+£42	+£41	+£44	+£53	+£56	+£51
Zero VAT on domestic electricity	+£41	+£42	+£45	+£42	+£46	+£45	+£49	+£48	+£55	+£58
State Pension income tax protection	+£1	+£3	+£3	+£3	+£2	+£2	+£1	+£1	£0	+£5
VAT cut on road fuel	+£5	+£6	+£7	+£7	+£9	+£9	+£9	+£11	+£12	+£11
Warm Home Discount top-up	£0	£0	£0	£0	£0	£0	£0	£0	£0	£0

NOTES: £0: no change on average, or less than 50p.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); each measure's own run against current law; publication revision 5.

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Gainers and losers

The share of people living in households whose net income rises, does not change, or falls in 2027-28. A household counts as better off when its net income rises by more than 0.01% (£3 a year on £30,000), worse off when it falls by more than that, and unchanged otherwise. People are counted by the household they live in.

TABLE 5: Most people live in households that are better off under the measures together

% of people, UK, 2027-28

Measure	Better off	No change	Worse off
All measures together	98.7%	1.3%	0.0%
Threshold freeze to 2031-32	0.0%	100.0%	0.0%
Fuel duty rises deferred	77.9%	22.1%	0.0%
Zero VAT on domestic electricity	95.8%	4.2%	0.0%
State Pension income tax protection	2.2%	97.8%	0.0%
VAT cut on road fuel	55.6%	44.4%	0.0%
Warm Home Discount top-up	0.0%	100.0%	0.0%

NOTES: The first row is the measures together; the others each measure on its own.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); the combined run and each measure's own run, against current law; publication revision 5.

Of the measures on their own, Zero VAT on domestic electricity makes the most people better off; Threshold freeze to 2031-32 and Warm Home Discount top-up change no household's income by more than 0.01% in 2027-28 (Threshold freeze to 2031-32 changes revenue only in 2031-32; Warm Home Discount top-up changes revenue only in 2026-27).

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Poverty and inequality

Absolute poverty: below 60% of the 2024-25 median income, held fixed in real terms. Relative poverty: below 60% of the median in the same year, so the line moves with the measures. Children are counted as in DWP's statistics[1]. Before (BHC) and after (AHC) housing costs.

TABLE 6: The measures together change absolute poverty before housing costs most in 2031-32, when it rises

Percentage points, UK

People	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32
All people	−0.02pp	0.00pp	0.00pp	−0.01pp	−0.01pp	+0.04pp
Children	−0.02pp	0.00pp	0.00pp	0.00pp	0.00pp	+0.05pp

NOTES: Below zero, fewer people in poverty.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

Every change in absolute poverty before housing costs, for all people and for children, is smaller than a tenth of a percentage point in every year from 2026-27 to 2031-32.

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TABLE 7: The measures together: change in other measures of poverty

UK, 2027-28

Poverty measure	All people, pp	All people, % of rate	Children, pp	Children, % of rate
Absolute, after housing costs	0.00pp	−0.02%	0.00pp	0.00%
Relative, before housing costs	0.00pp	−0.01%	0.00pp	0.00%
Relative, after housing costs	−0.01pp	−0.03%	0.00pp	0.00%

NOTES: pp: percentage points. % of rate: the change as a share of the baseline poverty rate.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

TABLE 8: The measures together: change in inequality

UK, 2027-28

Inequality measure	Change
Gini index, relative change	−0.11%
Share of income of the top 10%, percentage points	−0.02pp
90/10 ratio, relative change	0.00%

NOTES: Equivalised household net income, each household weighted by the people in it. A relative change is a share of the baseline value: a Gini of 0.300 falling to 0.297 is a 1.00% fall.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

TABLE 9: Each measure on its own: poverty and inequality

UK, 2027-28

Measure	Absolute BHC, pp	Children, absolute BHC, pp	Relative AHC, pp	Gini, relative change
Threshold freeze to 2031-32	0.00pp	0.00pp	0.00pp	0.00%
Fuel duty rises deferred	0.00pp	0.00pp	0.00pp	−0.04%
Zero VAT on domestic electricity	0.00pp	0.00pp	0.00pp	−0.06%
State Pension income tax protection	0.00pp	0.00pp	−0.01pp	0.00%
VAT cut on road fuel	0.00pp	0.00pp	0.00pp	−0.01%
Warm Home Discount top-up	0.00pp	0.00pp	0.00pp	0.00%

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); each measure's own run against current law; publication revision 5.

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1. Households Below Average Income: a child is in poverty when the household they live in is. Poverty is measured on equivalised household net income, before (BHC) and after (AHC) housing costs.

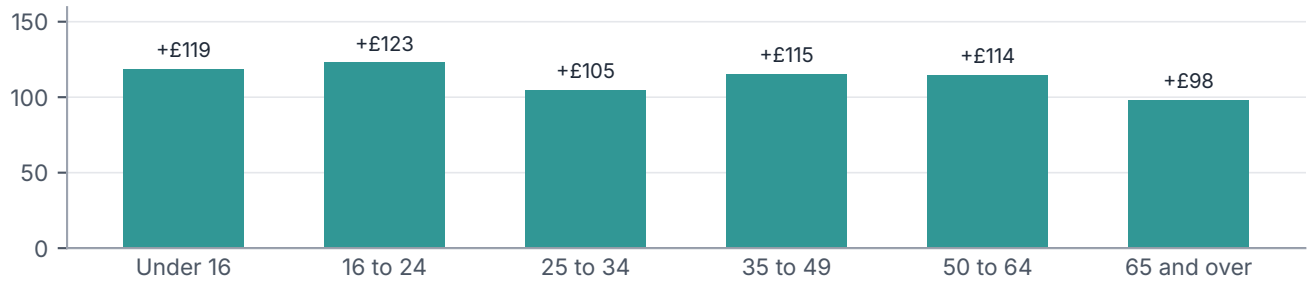
6

By age

The change in the net income of the households people live in, by the person's age, in 2027-28. Household income is shared by everyone in the household[2].

FIGURE 5: People in every age group gain on average, most in cash terms for people aged 16 to 24

Average change in the net income of people's households, by age, £ a year, UK, 2027-28



SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

People aged 65 and over gain least on average. Each person is given their whole household's change, so the figures reflect the households people of each age live in.

TABLE 10: The measures together: people better off, unchanged and worse off by age

% of people, UK, 2027-28

Age	Better off	No change	Worse off
Under 16	99.4%	0.6%	0.0%
16 to 24	99.4%	0.6%	0.0%
25 to 34	96.3%	3.7%	0.0%
35 to 49	99.1%	0.9%	0.0%
50 to 64	99.0%	1.0%	0.0%
65 and over	98.9%	1.1%	0.0%

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

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2. "65 and over" is an age band, not the same group as people over State Pension age; the dashboard's pensioners view shows that group.

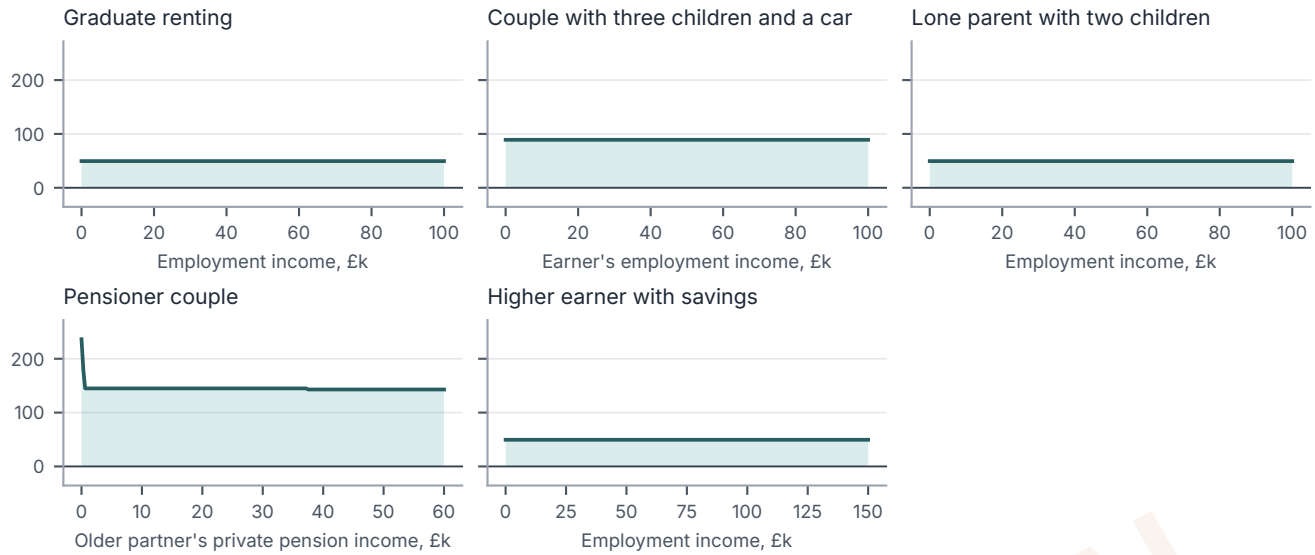
7

Example households

How the measures together change the net income of five example households in 2027-28, at different incomes. Each is one household, not an average; real households differ in rent, spending and circumstances.

FIGURE 6: Every example household is better off at each of the three incomes in the table

Change in net income by income, five example households, £ a year, 2027-28



NOTES: The horizontal axis is the income named under each chart, before tax; all charts share one vertical scale. Households as defined on the dashboard.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

The change is the same at all three incomes for four of the five households (Graduate renting, Couple with three children and a car, Lone parent with two children and Higher earner with savings); for the pensioner couple it varies with income, as its chart shows.

TABLE 11: The measures together: change in net income at three incomes

£ a year, 2027-28

Household	Lower income	Middle income	Higher income
Graduate renting One adult aged 30 with a Plan 2 student loan, renting a one-bedroom home privately in Manchester for £1,007 a month and spending £1,040 a year on electricity.	+£50 at £20,000	+£50 at £40,000	+£50 at £80,000
Couple with three children and a car A couple aged 35 and 33 with children aged 3, 6 and 8 and one earner, renting a three-bedroom home privately in Manchester for £1,441 a month and spending £957 a year on petrol and £1,040 on electricity.	+£89 at £20,000	+£89 at £40,000	+£89 at £80,000
Lone parent with two children A lone parent aged 32 with children aged 6 and 9, renting a two-bedroom home privately in Manchester for £1,239 a month and spending £1,040 a year on electricity.	+£50 at £20,000	+£50 at £40,000	+£50 at £80,000
Pensioner couple A couple aged 70 and 68 who own their home outright, each on the full new State Pension (£241.30 a week in 2026-27); the older partner has the private pension; they spend £1,040 a year on electricity.	+£145 at £12,000	+£145 at £24,000	+£143 at £48,000

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Household	Lower income	Middle income	Higher income
Higher earner with savings One adult aged 45 who owns their home with a mortgage, with £3,000 a year of savings interest and £5,000 of dividends on top of their pay, spending £1,040 a year on electricity.	+£50 at £30,000	+£50 at £60,000	+£50 at £120,000

NOTES: Lower, middle and higher income: 20%, 40% and 80% of the top of each household's income range on the dashboard.

SOURCE: PolicyEngine UK microsimulation (policyengine-uk 2.132.6, microcosm_uk_2024_25 data); one combined run of the six measures against current law; publication revision 5.

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ANNEX A

Methodology and caveats

Model and data

Model: policyengine 6.10.2, policyengine-uk 2.132.6, policyengine-core 3.33.3, on the microcosm_uk_2024_25 dataset (build microcosm-uk-2024-25-national-20261019T083323Z-6cba5d71). Each measure is simulated on its own against current law, and all of them together in one combined run, for 2026-27 to 2031-32. The economic assumptions are the model's pre-Budget ones; they have not yet been rebased on the Budget's OBR forecast.

What the figures leave out

- **Static costings.** The figures are not the OBR's post-behavioural costings (see the glossary).
- **Survey data.** Incomes and spending come from household survey data calibrated to official totals; estimates for small groups and small areas are uncertain, and cells with too few survey households are withheld.
- **Living standards outlook.** The dashboard's outlook for household incomes rests on a separate baseline forecast that is not one of this publication's receipted artifacts, so this report does not reproduce it.
- **Areas.** Results by region and constituency are not yet published in this release; they will be added to this report once they are.

Provenance

Publication manifest revision 5, updated 27 October 2026, 11:55 UTC. Each artifact's files were checked against its receipt when this report was built.

TABLE 12: Artifacts behind this report

First 16 characters of each SHA-256 digest

Run	Status	Artifact	Receipt
Threshold freeze to 2031-32	provisional	`ab46d0e4c20a5fb6`	`592a02ca704b0915`
Fuel duty rises deferred	provisional	`d38147e5151f4424`	`36e84452e4369a7b`
Zero VAT on domestic electricity	provisional	`55ed8eb44ff8f18d`	`d223fe32d89d2fba`
State Pension income tax protection	provisional	`d4df42a20f05cb9a`	`ba0a75a6a596e78c`
VAT cut on road fuel	provisional	`9c1f812b8c5de638`	`c115c28915ff7045`
Warm Home Discount top-up	provisional	`71662c9073c5e984`	`f2aaa12a5509ba2b`
All measures together	provisional	`af7e266bcb4c4bdd`	`c50c9847d2eb8162`

NOTES: Built by `report/build_report.py` at 3750e126 from `manifest.json` and the artifacts it names. Every figure in this report, with the file, row and column it came from, is in the accompanying `figures.json`.

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ANNEX B

Glossary

Absolute poverty	Household income below 60% of the 2024-25 median, held fixed in real terms.
Relative poverty	Household income below 60% of the median in the same year.
BHC, AHC	Before housing costs and after housing costs: income measured before or after rent, mortgage interest and similar costs are taken off.
Combined run	One simulation of all the measures in the report at once, which captures how they interact. Figures for the measures together come only from it, never from adding up measures.
Decile	One of ten equal groups of households, ranked by equivalised household net income before the measures.
Equivalised income	Household income adjusted for the size and make-up of the household, so that households of different sizes can be compared.
Gini index	A measure of income inequality from 0 (everyone has the same income) to 1 (one household has all income). Shown here as a relative change.
Net income	Household income after taxes and including benefits.
pp	Percentage points: the difference between two percentages.
Provisional	Figures published before they are approved: for candidate measures, modelled before the Budget; on Budget day, statement figures awaiting the Treasury costing.
Static costing	A costing in which people do not change their behaviour in response to the measures.
90/10 ratio	The income of the household at the 90th percentile divided by that at the 10th.

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